

If you placed a stop-loss order at the top of the pattern, price would stop you out 76% of the time. Move the stop to the bottom of the pattern, and the stop will hit just 3% of the time. Unfortunately, you'll take a bigger loss than if the stop is at the pattern's top. Regardless of where you place your stop, compute the potential loss as a percentage of the current price to see if you can tolerate or afford such a loss.

Table 26.8 shows the performance over three decades.

Performance over time. The roaring 2000s showed huge average gains (60%). The numbers do not include the two bear markets during the decade. The worst performance comes from the 2010s. That decade has almost half the performance rate seen in the 2000s (34% versus 60%).

Failures over time. Failures have been rising, almost doubling each decade. That's a scary thought, so maybe this is a statistic you shouldn't share with your children.

Table 26.7 How Often Stops Hit

Description	Bull Market
Pattern top	76%
Middle	22%
Pattern bottom	3%

Table 26.8 Performance and Failures Over Time for Bull Markets

Description	Bull Market
1990s	47%
2000s	60%
2010s	34%
Performance (above), Failures (below)	
1990s	6%
2000s	10%
2010s	20%